Re: Regarding the research proposal

From ndatta <ndatta@iitk.ac.in>
To praveenkmr21 <praveenkmr21@iitk.ac.in>
Date 2026-10-13 4:28 pm
Priority High

Battaglini (2026, TE).pdf (~815 KB) Battaglini (2014, TE).pdf (~412 KB)

Remove all attachments

Dear Praveen,

No worries, I have accepted your drop request on Pingala.

I have attached a couple of papers below; both written by my doctoral advisor actually. You should also do forward and backward searches on the list of citations in these papers on Google Scholar to track down more related papers.

Sure, happy to talk more about this idea after the mid-sem break. You should continue polishing the idea further till then.

Best,
nd

On 2026-10-12 15:25, praveenkmr21 wrote:

> In case this got buried
>
> On 2026-10-11 5:37 am, praveenkmr21 wrote:

Respected Sir,

Thanking you for the way you teach, you genuinely changed my trajectory,

I want to genuinely learn everything you teach but I have unfortunately completed my degree credit requirements as of this mid sem, but I really want to work under you regarding the following research topic. I would love to talk about it in person before the Drop deadline (which is monday 12th oct).

Motivation: In the Battaglini and Coate (2008) framework we studied, uncertainty about future spending needs leads the government to save as a buffer. Indian states mostly do the opposite. They carry high debt, their Consolidated Sinking Fund balances are small, and several have recently returned to the Old Pension Scheme, pushing liabilities onto future governments. Many states also face strong anti-incumbency, and their fiscal position depends partly on their relationship with the Centre.

Mechanism : The core of the proposal is a race between two forces. Uncertainty about future spending gives the government a reason to save. Political turnover works against this: a government that expects to lose the next election values saving less, because its successor will decide how the funds are used. If the incumbent survives with probability q and a successor can redirect a fraction φ of accumulated savings, saving earns the incumbent an effective return of about $(1+r)[q + (1-q)(1-\varphi)]$. Since $\beta(1+r) = 1$ in the benchmark, any turnover risk pushes this below $1/\beta$. Whether the state still saves depends on whether the buffer motive outweighs this political discount. I expect a threshold re-election probability below which states stop saving altogether, and this threshold should rise as spending needs become more volatile.

Two further points shape the analysis. First, how well savings are protected (φ) depends on institutions. Funds such as the CSF can only be used to repay debt, but because money is fungible, a successor can still offset them through new borrowing or lower contributions. Second, alignment with the ruling party at the Centre could work in either direction. It may raise a state's chances of re-election, which encourages saving, or create expectations of central support, which discourages it. Which effect dominates is something the model should determine.

Approach: I would first solve a two-period model of a state government facing turnover and uncertain spending needs, to derive the threshold condition and its comparative statics in spending volatility, φ and alignment. I would then extend it to an infinite-horizon Markov-perfect equilibrium following Battaglini and Coate. I plan to keep the proposal mainly theoretical. A state-level empirical test is difficult because there are relatively few state elections and expected turnover cannot be observed, so I would use data from RBI *State Finances: A Study of Budgets* and Election Commission results mainly as motivation. The closest papers I am aware of are Alesina and Tabellini (1990) and Khemani (2004).

Beyond the course. I am keen to develop this idea into a full paper after the proposal. I would like to work out the model completely and, if the results hold up, submit it to a student or early-career research journal. I would be very grateful for your advice on whether the idea has that potential, what it would need to get there, and which outlets might be suitable.

Thanking you,

Sincerely,

Praveen